

# Market Power

## ▼ What is market power

Occurs in oligopoly and monopoly markets

Competition is restricted so they can set prices higher and restrict output

## ▼ What are the indicators of market power

Market share

Concentration ratios

Size of profits

## ▼ What are the barriers to entry

High start up costs

Government licences

Patents

Collusive behaviour

Technology advantage

## ▼ How do firms protect market power

Structural barriers

- Economies of scale - firms enjoy a cost advantage as a result of increasing the size of operations. *Small companies cannot compete*

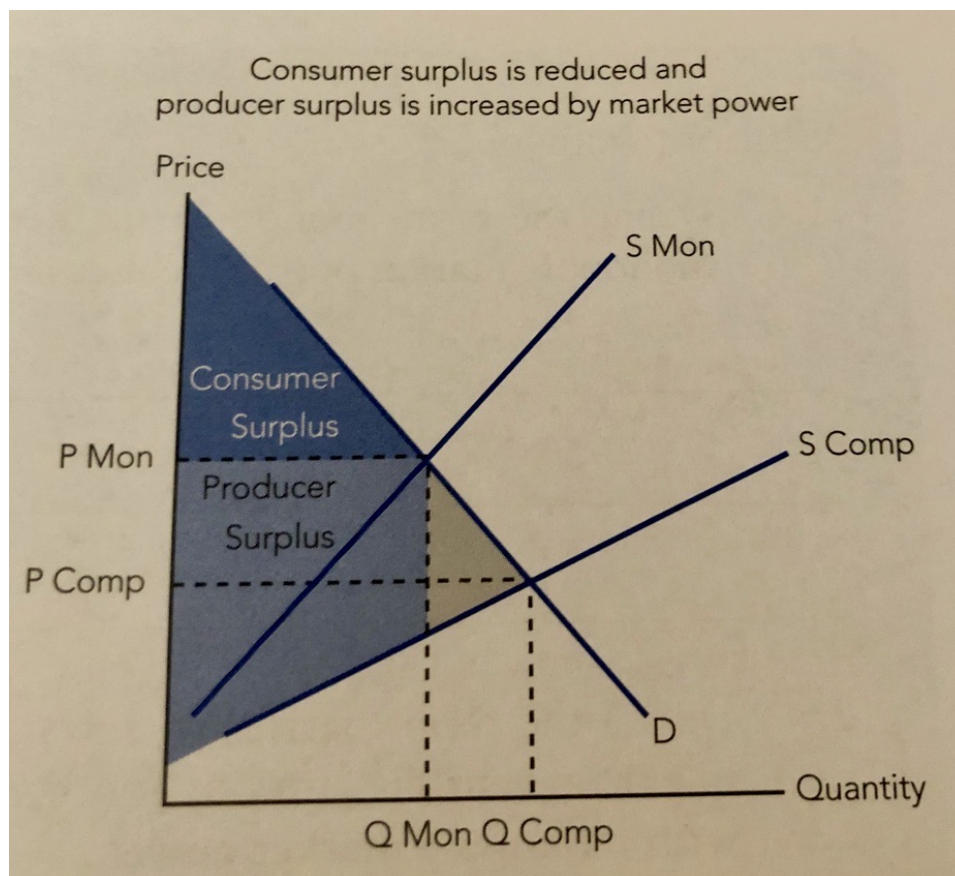
Strategic barriers

- Control of supply - control over a key resource required. *Keeps other firms out of the market*
- Brand loyalty - loyalty schemes, customers may be loyal to pre-established brands in the market
- Anti competitive behaviour
  1. Predator pricing - cutting prices to force out firms
  2. Bundling - price discrimination to target demographics
  3. Tacit collusion - matching strategies with other firms

Legal barriers

- Protection of intellectual behaviour - patents and copyright can oust new firms
- Government regulation - government control over barriers to entry

▼ **What is the impact of market power on total welfare**



Above:

- $P_{Comp}$  and  $Q_{Comp}$  = price and output levels within a competitive market
- $P_{Mon}$  and  $Q_{Mon}$  = price and output levels within a monopoly with market power

When firms have market power:

- Higher consumer prices, reduced sales, lower consumer surplus
- Higher prices received by producers, reduced sales, increased producer surplus
- Overall welfare is reduced due to the loss of sales

- Deadweight loss

▼ **What are the benefits fo a monopoly**

They achieve operations of scale and reduced costs

They do not use their market power as they are weary of the attractiveness to new entrants

They undertake financial research and development and produce better goods for their customers because they can afford to

▼ **How does the government hinder a monopoly**

Australian competition and consumer commission (ACCC)

- Protects, strengthens and supplements the way competition works in the Australian market and industry
- Advocates for fair trade practices between business and consumer

Competition and Consumer Act 2010

- Has rules against anti-competitive behaviour
- Has consumer protection rules